CHAPTER 11 · INTERMEDIATE LEVEL

Risk Management

The Core Skill

Explained so simply a 10-year-old gets it

The armour that keeps you in the game: sizing, R-multiples, stops, drawdown limits, and leverage — because survival comes before returns.

Stock Market Mastery Roadmap • Intermediate Level

This is the **most important skill in all of trading** — more than any pattern or indicator. **Risk management** is simply **making sure no single loss (or bad streak) can knock you out of the game.** A great pro says it best: *"Professionals are risk managers who happen to trade."* Let's build that armour.

🎯 Risk per trade: only bet a tiny slice

You met this in Chapter 5, now we make it sharp. On **any one trade**, risk only **1–2%** of your money. Your **stop distance** then decides your **size**:

> **POSITION SIZE, IN ONE STEP**
>
> **Shares = (money you'll risk) ÷ (stop distance).** With ₹1,00,000 and a 1% rule, you risk ₹1,000. If your stop is ₹20 away, that's ₹1,000 ÷ ₹20 = **50 shares**. The market decides the stop; the **1% rule decides the size** — never the other way round.

📏 The R-multiple: measure everything in "risk units"

Here's a pro secret that changes everything. Call the amount you risk on a trade **"1R"**. Now measure every result in **R**, not rupees:

- Risked ₹1,000 and made ₹3,000? That's **+3R**. 🎉
- Risked ₹1,000 and lost it all? That's **−1R**.
- "I'm **up 3R** this week" or "**down 2R** today" — clean, emotion-free, and comparable across any stock or size.

> **THE R MINDSET**
>
> Stop thinking in **rupees**, start thinking in **R**. Rupees make you emotional ("I lost ₹5,000!"); **R makes you calm and objective** ("that was a normal −1R"). It also lets you compare a small trade and a big one **fairly**, because both are measured in the same units of *risk*.

⚖️ Risk-reward: is the prize worth the bet?

Before entering, ask: **how much can I win vs how much can I lose?** That's the **risk-reward ratio (RR)**. Risking 1R to make 2R is a **1:2** trade.

> **RR AND WIN-RATE WORK TOGETHER**
>
> You don't need to win often if your **wins are big**. With a healthy **1:2** or **1:3** RR, you can be **wrong more than half the time and still grow**. Set a **minimum RR** you'll accept — and skip trades that don't clear it, no matter how tempting.

🗂️ Portfolio risk: don't let bets secretly stack up

Each trade might be small, but **together** they can be dangerous. Watch the whole basket:

- **Max open risk** — add up the risk of *all* live trades; cap the total.
- **Correlation risk** 🔗 — 5 bank stocks isn't 5 bets, it's basically **one big bet** — they move together.
- **Sector concentration** — don't pile everything into one industry.
- **Gross vs net exposure** — how much you have *out* in total vs your true directional lean.

🛑 Stop-loss discipline: the exit you set in advance

Stop type	What it is	Verdict
Hard stop	a real order in the system that auto-exits	✅ safest
Mental stop	a price "in your head" you *promise* to obey	⚠️ fails — emotions win in the moment
Time stop	exit if the trade hasn't worked *by* a set time	frees up money & attention

WHY MENTAL STOPS FAIL

A "mental stop" sounds disciplined but collapses under pressure: when price hits it, hope whispers *"just wait a bit more..."* and the small loss becomes a big one. Use **hard stops** — decide with a calm brain, and let the machine enforce it.

📉 Drawdown rules: your personal circuit breaker

A **drawdown** is a losing stretch. Just like the exchange halts on big crashes, **you** need self-halt rules:

- **Daily / weekly loss limit** — e.g., "down 3R today → I stop trading and walk away."
- **Scale down after losses** — trade smaller when cold, not bigger to "win it back."
- **Self circuit-breaker** — pre-set rules that force a break, so a bad day can't spiral into a disaster.

🎚️ Leverage: the volume knob (turns both ways)

LEVERAGE MAGNIFIES BOTH DIRECTIONS

F&O and **MIS (intraday)** let you control a big position with little money — that's **leverage**. It's a volume knob that makes **gains AND losses louder**. Turn it too high and a small move against you can trigger a **margin call** or **forced liquidation** (the broker sells you out). Respect it: more leverage = smaller position, not bigger.

💡 Key ideas to remember

- **Survival first.** 🛡️ Returns mean nothing if the account can be wiped out. Protect against the big loss above *all* else.
- **Expectancy = (Win% × avg win) − (Loss% × avg loss).** A **positive** expectancy, applied **consistently**, is the whole game.
- **Sequence-of-losses risk** — even a great system has losing **streaks**. Size so a *normal* streak **can't ruin you**.
- **Kelly-lite** — bet a bit **more when your edge is strong**, **less when unsure** — but always a **fraction**, never all-in.

PRACTICAL EXERCISES

- 📓 **Convert your last 30 (paper) trades into R-multiples** and compute your **expectancy in R**.
- 📋 **Write explicit rules** and **print them**: max risk per trade, max daily loss, max open positions, max risk in one sector.
- 📉 **Simulate a 6-loss streak** at your position size — does the account **survive comfortably**? If not, **cut your size** now.

REAL-WORLD APPLICATION

- 🏁 This is the chapter that **keeps you in the game long enough for skill to matter.** Everyone chases entries; the ones who *last* are the ones who mastered **risk**. Professionals are **risk managers who happen to trade.**

ONE-LINE SUMMARY

Risk **1–2% per trade**, size from your **stop distance**, and think in **R** not rupees. Demand a fair **risk-reward**, watch **portfolio-level** risk (correlation, sectors), use **hard stops**, set **daily loss limits**, and treat **leverage** as a knob that magnifies both ways. **Survive first** — a positive expectancy applied consistently does the rest.